CHURN ANALYSIS SUMMARY

IBM Telco dataset • 7,043 customers

MAIN FINDING

Contract type drives customer churn

43% churn on month-to-month plans vs. 3% on two-years contracts

Payment method

- Bank transfer (automatic)
- Electronic check
- Credit card (automatic)
- Mailed check

Contract

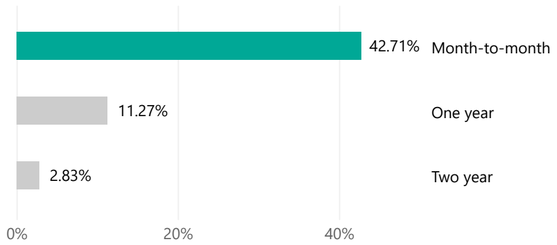
- ☐ Month-to-month
- ☐ One year
- ☐ Two year

Tech support

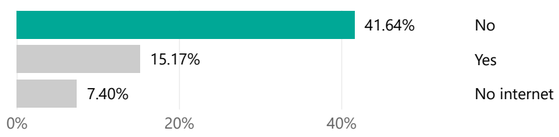
- ☐ No
- ☐ No internet
- ☐ Yes

7,043	1,869	26.54%	$139.13 mil
Total Customers	Total Churn	Churn Rate	Revenue Churned

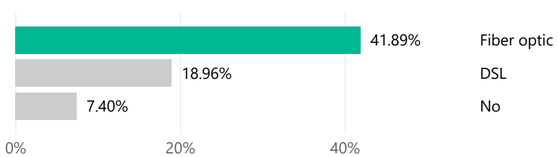
Churn Rate per Contract



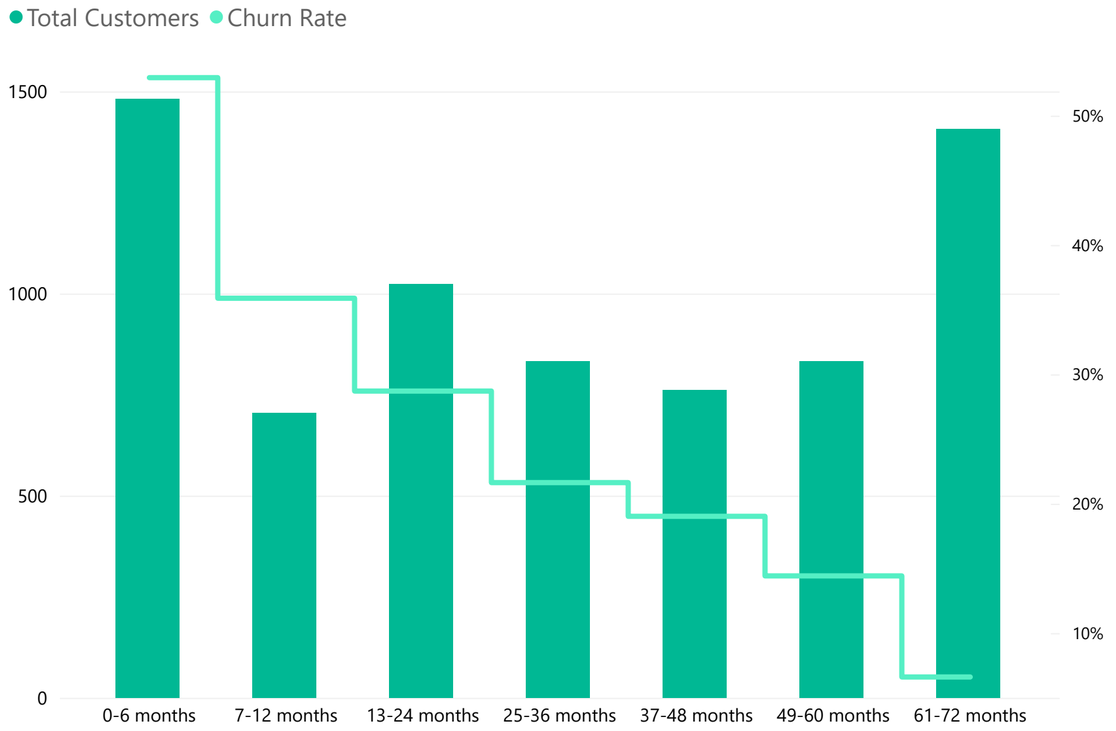
Churn Rate per TechSupport



Churn Rate per Internet Service



Churn Rate by Tenure Group



Churn by Service

Service	No	Yes
DeviceProtection		
No	71.35%	28.65%
Yes	77.50%	22.50%
InternetService		
No	92.60%	7.40%
Yes	68.17%	31.83%

Key insights & recommendations

Contract type is the strongest lever
Month-to-month customers churn at ~43% vs ~3% on two-year plans.
› Offer incentives to move customers to annual contracts.

The first months are critical
Customers in their first 6 months churn at ~52%, falling to ~7% after 5 years.
› Strengthen onboarding and follow-up in the first 90 days.

Fiber optic and no tech support signal higher risk
Fiber: 41.9% vs 19% for DLS. No Tech support 41.6% vs 15% with it.

›Review fiber optic quality and pricing; test tech support bundles for at-risk customers.